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General Management

Management Science

1. Information Asymmetry at Debt Rollover and Startup Loans

Authors: Chong Huang, Fei Li, Haibo Xu

DOI: [10.1287/mnsc.2024.07999](https://doi.org/10.1287/mnsc.2024.07999)

Department: Finance

Published: 2026-07-30

Fields & Theories:

- **Fields:** Entrepreneurial Finance, Strategic Management, Information Economics
- **Theories:** Information Asymmetry, Moral Hazard, Contract Theory, Signaling Theory

Abstract:

This paper investigates the optimal design of information disclosure at debt rollover to maximize an entrepreneur's ex ante borrowing capacity and social welfare. We develop a model where an entrepreneur secures a startup loan for project experimentation and must refinance for production. Borrowing capacity is limited by the pledgeability of project cash flows, which is eroded by three interacting forces: the entrepreneur's moral hazard, premature liquidation risk following a liquidity shock, and rent dissipation arising from creditor competition. We show that a coarse "pass-or-fail" signal structure maximizes borrowing capacity. This binary structure is informative to balance incentive provision against liquidation risk, yet sufficiently coarse to mitigate rent dissipation. Furthermore, we demonstrate that the welfare-maximizing signal structure remains a pass-or-fail form, with an optimal threshold that tightens as the entrepreneur's borrowing need increases. This paper was accepted by Lin William Cong, finance. Funding: H. Xu acknowledges support from the National Social Science Fund of China [Project Code: 23BJY251]. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2024.07999>.

□ Huang - Information Asymmetry at Debt Rollover and Startup Loans.pdf

2. Harvesting Ratings

Authors: Johannes Johnen, Robin Ng

DOI: [10.1287/mnsc.2024.06335](https://doi.org/10.1287/mnsc.2024.06335)

Department: Business Strategy

Published: 2026-08-03

Fields & Theories:

- **Fields:** Business Strategy, Platform Economics, Industrial Organization, Marketing Strategy
- **Theories:** Signaling Theory, Reputation Theory, Game Theory, Information Economics

Abstract:

Ratings play a crucial role in online marketplaces, shaping consumer decisions and firm strategies. We investigate how firms strategically use pricing to influence ratings, and how this undermines ratings as signals of product quality. We develop a two-period model of price competition between an established firm and a potentially high- or low- quality entrant, capturing the challenge high-quality newcomers face in building reputation. Consumers rate based on value-for-money, but cannot distinguish whether positive ratings result from genuine quality or discounted prices. Low-quality entrants take advantage of this and may offer low prices to harvest good ratings in the future, or mimic high prices to signal high quality. We show that ratings harvesting inflates positive ratings, reducing their informativeness. This exacerbates the cold-start problem and discourages high-quality entry. Our results mirror empirical patterns and generate implications for how rating design affects market outcomes: reducing effort costs to rate induces more but less-informative ratings, and discourages entry. Thus, actions by major marketplaces to encourage ratings could backfire and induce less precise ratings that discourage entry. To mitigate these effects, policymakers can consider balancing rating effort costs to preserve informativeness, discouraging excessive discounts for new sellers, and incorporating price paid into rating displays. Although the effects of individual en-

entrants' harvesting may appear temporary, harvesting hinders high-quality entrants from building reputation, discouraging entry and causing lasting distortions. History: Accepted by Maria Guadalupe, business strategy. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2024.06335>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Funding: This work was supported by Fédération Wallonie-Bruxelles [Grant 19/24-101 PROSEco], Fonds De La Recherche Scientifique - FNRS [Grant FC46885], and Deutsche Forschungsgemeinschaft (CRC TR 224 (Project B05), SSRC-SMU Graduate Research Fellowship). Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2024.06335>.

□ Johnen - Harvesting Ratings.pdf

3. Realized Illiquidity

Authors: Demetrio Lacava, Angelo Rinaldo, Paolo Santucci de Magistris

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Department: Finance

Published: 2026-08-11

Fields & Theories:

- **Fields:** Finance, Financial Markets, Market Microstructure
- **Theories:** Market Microstructure Theory, Information Asymmetry, Asset Pricing

Abstract:

We develop a simple theory of realized illiquidity, defined as the ratio of realized volatility to trading volume. Building on the widely used price impact measure of Amihud (2002), we introduce the realized Amihud, which significantly improves measurement accuracy. Our theoretical and numerical results show that it robustly captures cumulative intraday price sensitivity to trading, accounting for stochastic volatility, microstructure noise, and information jumps. Empirically, we uncover distinct time-series patterns in realized stock illiquidity—heterogeneous clustering, leverage effects—and show that it predicts short-term returns. This paper was accepted by Agostino Capponi, finance. Funding: A. Rinaldo acknowledges financial support from the Swiss National Science Foundation [SNSF Grant 182303]. P. Santucci de Magistris also acknowledges the research support of the Project 2 Grant of the Danish Council for Independent Research (IRFD), Social Sciences, No. 8019-00015A, and of the European Union's - Next Generation EU program through the Italian PRIN 2022 -M4C2, Investment 1.1 - "Monitoring Risks in Financial Markets"—Codice Cineca: 2022NEL482 - CUP: I53D23003410008. D. Lacava acknowledges that part of this research was carried out while he was affiliated with Luiss University, within the project "Financial Modeling under Non-Gaussian Distributions". Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.02505>.

□ Lacava - Realized Illiquidity.pdf

4. Small Business Judging Judges

Authors: Mehmet I. Canayaz, Matthew T. Gustafson

DOI: [10.1287/mnsc.2024.08333](https://doi.org/10.1287/mnsc.2024.08333)

Department: Finance

Published: 2026-08-11

Fields & Theories:

- **Fields:** Entrepreneurship, Non-market Strategy, Law and Economics, Political Economy
- **Theories:** Institutional Theory, Transaction Cost Economics, Political Ideology

Abstract:

We find that shifts toward more liberal (i.e., less probusiness) courts predict reductions in local small business activity. A one-standard-deviation increase in liberal ideology predicts a 1% reduction in firm count

relative to bordering counties in different federal court jurisdictions. This effect has more than doubled since 2000 and is particularly pronounced in circuit-years with elevated small business–related federal cases or public attention to the legal environment. The effect manifests predominantly through the exit of young firms, not firm relocations, and coincides with a shift away from litigation-sensitive industries. In summary, we provide the first evidence that small businesses consider judicial ideology, and the accompanying variation in expected litigation costs, when deciding whether or where to operate. This paper was accepted by Bo Becker, finance. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08333>.

□ Canayaz - Small Business Judging Judges.pdf

5. Microfoundations of Absorptive Capacity as Revealed by Inventor Deaths

Authors: Benjamin Balsmeier, Lee Fleming, Sonja Lück

DOI: [10.1287/mnsc.2024.06147](https://doi.org/10.1287/mnsc.2024.06147)

Department: Business Strategy

Published: 2026-08-19

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management, Organizational Theory, Knowledge Management
- **Theories:** Absorptive Capacity, Knowledge-Based View, Microfoundations, Knowledge Diffusion

Abstract:

We return to the theoretical foundations of absorptive capacity and test the idea that personal experience in a field makes it easier for a firm's inventors to recognize and build upon knowledge in that field from other local firms. We propose a new empirical model of localized knowledge diffusion, which (1) measures a firm's absorptive capacity by its inventors' prior experience in a field, (2) uses a death instrument to exogenously vary the availability of knowledge of the same collaborative patent in different regions, and (3) estimates the difference in citation likelihood from all subsequent inventors across both regions as a function of a potentially citing inventor's prior experience in the field. Consistent with the original theory of absorptive capacity, firms whose inventors have prior experience in a field are more likely to use locally available interpersonal knowledge from other firms; furthermore, this effect declines monotonically with distance. Although the effects strengthen for more recent experience and multidisciplinary knowledge, the greatest benefits accrue to firms in the interaction—those whose inventors have more recent experience and that seek to absorb multidisciplinary knowledge. Interpersonal absorptive capacity within firms does not appear to localize. This paper was accepted by Anita McGahan, business strategy. Funding: The authors acknowledge financial support from the Alfred P. Sloan Foundation and the National Science Foundation [Grant 1360228]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06147>.

□ Balsmeier - Microfoundations of Absorptive Capacity as Revealed by Inventor Deaths.pdf

6. Entrepreneurial Teams: Prior Industry Experience and Early-Stage Growth

Authors: Francesco D'Acunzio, Geoffrey Tate, Liu Yang

DOI: [10.1287/mnsc.2023.00773](https://doi.org/10.1287/mnsc.2023.00773)

Department: Finance

Published: 2026-08-20

Fields & Theories:

- **Fields:** Entrepreneurship, Strategic Management, Human Capital, Organizational Behavior
- **Theories:** Human Capital Theory, Resource-Based View, Team Diversity, Coordination Costs

Abstract:

We use career backgrounds of initial employees from a full cohort of U.S. startups to measure founding

teams' skillsets. Startups with more diverse prior industry experience grow faster than same-industry local peers. One-standard-deviation-higher diversity is associated with 16% (10%) higher five-year employment (sales) growth, controlling for demographic diversity, prestartup wages, and other observables. Startups in innovative industries and facing lower coordination costs among team members drive the results. To address endogeneity, we exploit shocks in which teams suddenly lose members with unduplicated skills. Overall, combining individual specialization with team-level diversification allows teams to act as "jacks of all trades and masters of each." This paper was accepted by Bo Becker, finance. Funding: This research uses data from the Census Bureau's Longitudinal Employer Household Dynamics Program, which was partially supported by the National Science Foundation [Grants SES-9978093, SES-0339191 and ITR-0427889], the National Institute on Aging [Grant AG018854], and grants from the Alfred P. Sloan Foundation. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.00773>.

□ D'Acunto - Entrepreneurial Teams Prior Industry Experience and Early-Stage Growth.pdf

7. Media Sentiment on Foreign Countries and International Asset Allocation

Authors: Baixiao Liu, Linlin Ma

DOI: [10.1287/mnsc.2024.05504](https://doi.org/10.1287/mnsc.2024.05504)

Department: Finance

Published: 2026-08-20

Fields & Theories:

- **Fields:** International Business, Finance, Behavioral Economics, Media Studies
- **Theories:** Behavioral Finance, Information Processing Theory, Signaling Theory, Sentiment Analysis

Abstract:

We examine whether U.S. media sentiment on foreign countries influences domestic investors' international asset allocation. Using flows to country-specific mutual funds as a proxy for investor demand, we find that negative media sentiment, measured by the interaction of negative tone and media attention given to foreign countries, is strongly associated with reduced investor flows into funds targeting those countries. This relationship is driven, at least in part, by media sentiment that is unrelated to the economic fundamentals of the targeted countries. We employ The Wall Street Journal's acquisition by News Corp to support the causal interpretation of our findings. Our results highlight the perception-shaping role of media narratives in driving global investment decisions. This paper was accepted by Will Cong, finance. Funding: L. Ma acknowledges funding support from the National Natural Science Foundation of China [Grant 72103008]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05504>.

□ Liu - Media Sentiment on Foreign Countries and International Asset Allocation.pdf

8. Dissecting Anomalies in Conditional Asset Pricing

Authors: Valentina Raponi, Paolo Zaffaroni

DOI: [10.1287/mnsc.2024.06968](https://doi.org/10.1287/mnsc.2024.06968)

Department: Finance

Published: 2026-08-21

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Financial Econometrics
- **Theories:** Asset Pricing Theory, Efficient Market Hypothesis, Risk-Return Trade-off

Abstract:

This paper introduces a novel methodology for analyzing anomalies in conditional asset pricing models with time-varying risk exposures and premia. Our approach extends the conventional two-pass methodology to include both ordinary and weighted least-squares estimation in a conditional setting. We establish closed-form standard errors to statistically dissect anomalies, including a version robust to global misspecification.

We introduce a novel R^2 criterion to quantify the joint contribution of large anomaly sets in explaining cross-sectional stock return variations. Our analysis highlights the significant impact of anomalies during economic and financial crises, linking them closely with market conditions.

This paper was accepted by Kay Giesecke, finance. Funding: This project has received funding from the postdoctoral fellowships programme Beatriz de Pinos, funded by the Secretary of Universities and Research (Government of Catalonia) and by the Horizon 2020 programme of research and innovation of the European Union under the [Marie Skłodowska-Curie Grant Agreement 801370]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06968>.

□ Raponi - Dissecting Anomalies in Conditional Asset Pricing.pdf

9. The Factor Multiverse: The Role of Interest Rates in Factor Return Measurement

Authors: Liang Ma

DOI: [10.1287/mnsc.2024.08851](https://doi.org/10.1287/mnsc.2024.08851)

Department: Finance

Published: 2026-08-21

Fields & Theories:

- **Fields:** Finance, Investment Management, Asset Pricing
- **Theories:** Factor Models, Arbitrage Pricing Theory, Return Decomposition

Abstract:

We study the equity factor zoo using a duration-matching return-decomposition approach that adjusts factor returns by subtracting returns on duration-matched government bond portfolios. By doing so, we remove the component of factor returns attributable to interest rate movements while preserving shocks to expected growth and risk premia observed in the data. Among commonly used factors, the value, investment, and profitability premia increase after duration matching, while the market and size premia decrease, over the post-1981 sample period. Furthermore, the effect of duration matching on mean factor returns depends importantly on the interest rate environment, consistent with our return decomposition framework. This paper was accepted by Kay Giesecke, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08851>.

□ Ma - The Factor Multiverse The Role of Interest Rates in Factor Return Measurement.pdf

10. The Saliency of Entrepreneurship: Evidence from Online Business

Authors: Yi Huang, Chen Lin, Sibor Liu, Gustavo Manso

DOI: [10.1287/mnsc.2024.04409](https://doi.org/10.1287/mnsc.2024.04409)

Department: Finance

Published: 2026-08-24

Fields & Theories:

- **Fields:** Entrepreneurship, Behavioral Economics, E-commerce, Economic Geography
- **Theories:** Saliency Theory, Behavioral Decision Theory, Social Learning, Information Cascades

Abstract:

We examine the decision to become an entrepreneur in the context of online business. Using data on entrepreneurs from a large e-commerce marketplace in China, we find that individuals are more likely to start online businesses after observing the salient success of nearby stores. Leveraging the platform's store rating system and detailed geographic information in rural China, we show that an upgrade in a local store's rating leads to a significant increase in new store entries nearby. This effect diminishes with physical distance and intensifies with the saliency of the upgrade. However, these entry decisions appear to be suboptimal; entrants driven by local upgrade events underperform in sales and are more likely to exit, especially during downturns in overall market conditions. Our findings are consistent with saliency-based theories of deci-

sion making, in which individuals overweight highly visible local information. This paper was accepted by Lin William Cong, finance. Funding: C. Lin acknowledges financial support from the National Natural Science Foundation of China [Project 72192841] and the Research Grant Council of the Hong Kong SAR, China [Project T35-710/20-R]. S. Liu acknowledges financial support from the Research Grant Council of the Hong Kong SAR, China [Project 12503324]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.04409>.

□ Huang - The Salience of Entrepreneurship Evidence from Online Business.pdf
